State of California

Department of Technology

Financial Analysis Worksheets

Preparation Instructions

Statewide Information Management Manual – Section 19F

October 2017

INTRODUCTION TO
THE FINANCIAL ANALYSIS WORKSHEETS

Overview

SIMM Section 19F, Financial Analysis Worksheets (FAWs), provides a basis for detailed financial analysis that contributes to good investment decisions, project transparency, and accountability. The purpose of the FAWs is to document and compare the costs and financial benefits of the current method of operation with those of the alternatives considered. The FAWs are used to identify the specific resources that will be needed to implement the proposed alternative and attempts to answer the questions: "How much will the project cost?," "What will be the impact on future operations?" and "From where will the funding come?" Estimating alternative solution costs is a key component of the financial analysis used to make an information technology (IT) investment decision. Financial proposals and decisions are strengthened when there is a clear understanding of the complete resource implications. The FAWs instructions have been prepared to help State of California Agencies/state entities[1] meet the California Department of Technology (CDT) requirements for documentation of project proposals. Contact your CDT, Office of Statewide Project Delivery (OSPD), Project Approval Manager for additional direction and clarification.

Clarifications

- ✓ FAWs will be created in conjunction with the Stage 2 Alternatives Analysis.
- ✓ Agencies/state entities are required to submit the FAWs along with a Stage 2 Alternatives Analysis for all proposals deemed reportable by the CDT.
- ✓ For the proposed alternative, each of the following worksheets must be completed: ***Alt 1- Project, Alt 1- Future Ops, Alt 1- Funding Plan, Alt 1- Planning BCP, and Alt 1- Project BCP***.
- ✓ For all other alternatives considered, only the following worksheets must be completed: ***Alt 2- Project*** and ***Alt 2- Future Ops*** (and) ***Alt 3- Project*** and ***Alt 3- Future Ops.***
- ✓ Agencies/state entities are required to update the FAWs at Stage 3 Solution Development and Stage 4 Project Readiness and Approval, as further analysis of a proposal may necessitate changes to the financial analysis.

Stage 2 Alternatives Analysis Reporting Requirements

The CDT requires specific information from Agencies/state entities to carry out its responsibilities in approving the FAWs as part of the Stage 2 Alternatives Analyses. The FAWs must be comprehensive and cannot rely on verbal or subsequent written responses (e.g., emails) to the CDT staff questions. Submissions that are incomplete and fail to provide relevant information in written form may be returned without consideration at the discretion of the CDT.

[1] **State entity:** Includes every state office, officer, department, division, bureau, board, and commission, including Constitutional Officers. "State entity" does not include the University of California, California State University, the State Compensation Insurance Fund, the Legislature, or the Legislative Data Center in the Legislative Counsel Bureau.